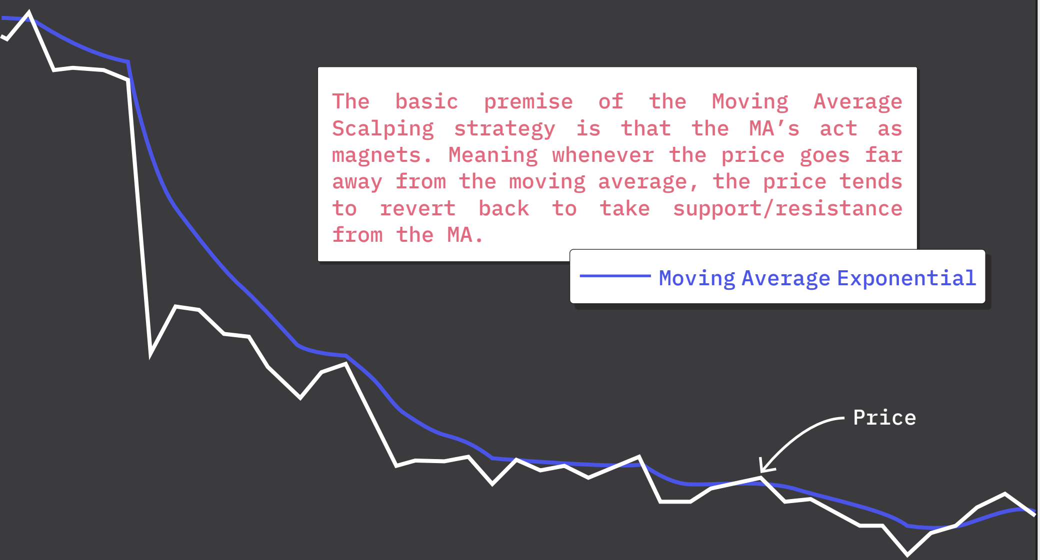
5.5 MOVING AVERAGE SCALPING STRATEGY

Strategy video

In case you have forgotten, ***scalping is the art of taking and exiting trades within a very short span. I do not recommend this strategy if you are someone who is just starting out.*** There are many positional trading strategies discussed in this book and I think you should try them first before shifting to scalping.

On the other hand, if you are someone who is experienced, this strategy is for you.

The basic premise of the Moving Average Scalping strategy is that the MA's act as magnets. Meaning whenever the price goes far away from the moving average, the price tends to revert back to take support/resistance from the MA.



We are going to take advantage of this tendency of price. ***This is also called Mean Reversion.***

This chapter discusses how a simple EMA (Exponential Moving Average) can be used for scalping profits ***in the first hour of market.*** Let's discuss the strategy now.